

QED SHANKAR AIYAR

Thought for Food



You only need to look at the booming oil economies to realise that rising prices also have an upside. The global food crisis is an opportunity for India. The arithmetic is simple. Over 670 million people live off the rural economy. Agriculture accounts for about 19 per cent of the \$1 trillion economy, or \$200 billion, which means nearly two-thirds of the populace lives off a fifth of the income. Rising food prices offer India the chance to raise the income levels of its worst off.

The first step in this would be to stop confusing the interest of consumers with that of farmers. Yes, consumers—particularly the poor—need a stable price regime. The answer is to fix the public distribution system. Political parties are competing in a race downhill on offering grains at Rs 2 per kg. Fact is the Antyodaya programme is supposed to do just that but doesn't. Next, fix the problem of wastage. Over Rs 59,000 crore worth of produce rots in the fields. Politicians must realise that waste not only erodes income levels but also fuels inflation. Solution: a supply chain management that will cut middlemen and deliver more to both farmers and consumers. So much for tactics to manage prices. Long-term growth strategy requires the Government to dismantle the current subsidy system. Long-term demand-led production cycles will ensure offtake. Infusion of technology inputs through the mass media (even a farmers' channel) will bring market economics to farms. Translated: focus on contract farming to improve output and incomes.

That, though, will not be enough to feed 18 million Indians who join the food queue every year. We need the "vision-thing". With finite land and growing demand for food, India will have to invest in farm land overseas—it could be South America, it could be Africa. As with equity oil where oil companies have invested over \$5 billion the world over, we need to look at augmenting supply. The \$300 billion reserves could fund the seed capital. Like in exports, it could be incentivised with tax breaks. It will generate an alternate source for food and trigger demand for Indian skills. Remember, the Chinese are already on to this, in Brazil and Kenya. Call it agri-imperialism but the writing is on the wall.

The old book says, "Whatsoever a man soweth, that shall he also reap". If India's politicians fail to see the reality of scarcity and sow empty rhetoric they will only reap rebellion. They would do well to remember that morals are but based on sound economics.



SAURABH SINGH

PLAYING SECOND FIDDLE: Krishna



Congress of Confusion

BANGALORE Former Maharashtra governor and chief minister of Karnataka S.M. Krishna was hoping to play a major role in the May 2008 Assembly polls in the state. But that, he found, was not to be and is not content playing second fiddle to anybody. He is not going to contest the polls; nor does his name figure in the two key election-related panels in the state.

The US-educated Krishna is seen as too urban-centric and is also unhappy over the fact that his close supporter R.V. Devaraj—who had vacated his seat in Chamarajapet in Bangalore last time for Krishna—does not find himself in the first list of candidates. State Congress President Mallikarjuna Kharge—a chief ministerial aspirant—and former chief minister Dharam Singh have, on the other hand, hit it off quite well.

With senior Congress leader Kapil Sibal deployed to Karnataka to match the legal wit and wisdom

of BJP's Arun Jaitley, who was already hinting at a possible truck with the JD(S) if the need arises, the Congress seems to be taking measures to keep a safe distance from anyone who is not in the good books of the intriguing kingmaker of Karnataka politics and JD(S) honcho H.D. Deve Gowda. Gowda and his family control the state's second-largest community that plays a decisive role in shaping the politics of the state.

Added to this, the denial of tickets to the kith and kin of senior Congress leaders like C.K. Jaffer Sharief and Margaret Alva has also caused heartburn. Many unlucky Congress ticket aspirants in the Cauvery heartbelt are now being wooed by the BJP and the JD(S). Sharief is miffed with the high command denying a ticket to his grandson. "They should also have a future and they'll decide on their own. I am just a small worker in the party," he says tongue in cheek. All is not well in the Congress. **by Stephen David**